The great historian Arnold J. Toynbee has shown that the great civilizations of the world evolved as a result of the forceful response provided by the inhabitants of a region when faced with a massive challenge posed by a changing environment. Thus the Egyptian civilisation evolved when a prolonged drought forced the inhabitants of the region to enter and drain the dangerous marshes of the Nile delta to create the fertile Nile valley. Economic systems and financial institutions are no different. The evolution of the Indian banking system and the creation of its major financial institutions can equally be traced to the responses provided to emerging challenges. And, in these responses the ‘barons’ of this banking history played a leading role.

When Sir Sorabji Pochkhanawala incorporated the Central Bank of India, he did not merely start a new bank. In an era of foreign domination, and in the teeth of much opposition, he demonstrated that a bank owned and managed by Indians could successfully compete with, and even outperform, many of the existing banks which were under foreign management. In paving the way for many others to follow he laid the foundation of the Indian commercial banking system.

Sir Chintaman D. Deshmukh, the first Indian Governor of the Reserve Bank of India and Sir Purshotamdas Thakurdas, its most forceful and longest serving founder-director, fought courageously and tenaciously to preserve the autonomy of the bank, an autonomy which it enjoys to this day. In this context it is interesting that in writing about Sir Osborne A. Smith, the first Governor, the author revisits the early years of the Reserve Bank of India using the recently released papers of the second Governor, Sir James Taylor.

A.D. Shroff was the colossus who straddled many fields in the financial world whether it was banking, insurance, finance or economic policy. While he played a stellar role in the conception and establishment of some of the most important institutions in the banking sector, perhaps his most memorable contribution was as one of the representatives at the Bretton Woods Conference where his passionate appeal on India’s behalf established India’s credentials as a force to be reckoned with on the global financial stage.

R.K. Talwar of the State Bank of India was the legendary commercial banker who in the emerging era of nationalized banking demonstrated an